

29-3a The Simple Case of 100-Percent-Reserve Banking

To see how banks influence the money supply, let’s first imagine a world without any banks at all. In this simple world, currency is the only form of money. To be concrete, let’s suppose that the total quantity of currency is **\$100**. The supply of money is, therefore, **\$100**.

Now suppose that someone opens a bank, appropriately called First National Bank. First National Bank is only a depository institution—that is, it accepts deposits but does not make loans. The purpose of the bank is to give depositors a safe place to keep their money. Whenever a person deposits some money, the bank keeps the money in its vault until the depositor withdraws it, writes a check, or uses a debit card to access her balance. Deposits that banks have received but have not loaned out are called reserves (deposits that banks have received but have not loaned out) . In this imaginary economy, all deposits are held as reserves, so this system is called *100-percent-reserve banking*.

We can express the financial position of First National Bank with a *T-account*, which is a simplified accounting statement that shows changes in a bank’s assets and liabilities. Here is the T-account for First National Bank if the economy’s entire **\$100** of money is deposited in the bank:

First National Bank			
Assets		Liabilities	
Reserves	\$100.00	Deposits	\$100.00

On the left side of the T-account are the bank’s assets of **\$100** (the reserves it holds in its vaults). On the right side are the bank’s liabilities of **\$100** (the amount it owes to its depositors). Because the assets and liabilities exactly balance, this accounting statement is called a *balance sheet*.

Now consider the money supply in this imaginary economy. Before First National Bank opens, the money supply is the **\$100** of currency that people are holding. After the bank opens and people deposit their currency, the money supply is the **\$100** of demand deposits. (There is no longer any currency outstanding, since it is all in the bank vault.) Each deposit in the bank reduces currency and raises demand deposits by exactly the same amount, leaving the money supply unchanged. Thus, *if banks hold all deposits in reserve, banks do not influence the supply of money*.

Chapter 29: The Monetary System: 29-3a The Simple Case of **100**-Percent-Reserve Banking

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